

Of course, it's unfortunate that you must take the bad (downside risk) with the good (upside potential). But that's precisely why most investment houses and federal regulators prohibit large amounts of leverage at the individual investor level, and justifiably. There is however, one way to eliminate, or at least greatly reduce, the chances of a wretched outcome. That is, buy a product with upside potential, but that can't lose money. Sound impossible? Well, investments with money-back guarantees, such as index-linked notes and put-protected portfolios, are all products where the "left tail" is eliminated. The names might sound odd and confusing, but the main idea is the same. By "left tail," I mean those events where your final wealth is less than your initial wealth.

These crash-proof investments, in all their guises, promise to return your original principal in the event of a bear market, or worse, at the expense of marginally lower returns. This essentially guarantees that you will have enough money to pay back the outstanding loan at its maturity.

Of course, there is no guarantee that the return on these products will beat the interest costs that you must pay on your borrowings, but at least the chance of a true catastrophe is eliminated. In sum, the most important thing to remember when contemplating leverage is that you must be able to afford the interest payments, without having to sell out at the worst possible time.

Is Debt Good?

In this chapter, I looked at whether using leverage—"borrowing to invest" in the purest sense—is a prudent strategy. First, if your interest cost is tax-deductible, and market returns are treated as capital gains, which means taxes are deferred as long as you don't sell, then the upside of leverage can look quite appealing. By the same token, the downside is obvious. If things go wrong, and they certainly can, your loss is magnified. As Table 4.4 demonstrated, the odds of suffering a severe loss of your original equity are quite high.